

26STCV02231 26STCV02231

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Case Number: 26STCV02231 Hearing Date: September 22, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: September

22, 2026

CASE NAME: Gurpreet

"Pete" Sahani v. Brand Force One, LLC, et al.

CASE NO.: 26STCV02231

MOTION

TO COMPEL ARBITRATION

MOVING PARTY: Defendants

Brand Force One, LLC; Juggernaut One LLC; SVJ One LLC; and Graftan Darnall

RESPONDING PARTY(S): Plaintiff Gurpreet "Pete" Sahani

REQUESTED RELIEF:

1. An

order compelling this matter to arbitration and staying proceedings.

TENTATIVE RULING:

1. Motion

to compel arbitration is GRANTED as to Brand Force One, LLC;

2. This

action is STAYED as to Juggernaut One LLC, SVJ One LLC, and Graftan Darnall.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On January 22, 2026, Plaintiff Gurpreet “Pete” Sahani (Plaintiff) filed a complaint against Defendants Brand Force One, LLC (Brand Force); Juggernaut One LLC (Juggernaut); SVJ One LLC (SVJ); and Graftan Darnall (Darnall) (sometimes collectively Defendants) with causes of action for: (1) failure to pay earned wages; (2) failure to pay all earned wages upon discharge; (3) breach of written employment contract; (4) retaliation [Lab. Code § 1102.5]; (5) retaliation [Lab. Code § 98.6]; and (6) wrongful termination in violation of public policy.

According to the complaint, Plaintiff worked as Defendants' Senior Vice President of Supply Chain and Expansion from late January 2025 through December 1, 2025. He alleges that after raising concern about his earned bonus, he was terminated.

On March 19, 2026, Defendants filed an answer.

On June 29, 2026, Defendants filed the instant motion to compel arbitration. On September 9, 2026, Plaintiff filed an opposition. On September 15, 2026, Defendants filed a reply. On September 16, 2026, Plaintiff filed a notice of supplemental authority in support of opposition.[1]

LEGAL STANDARD:

As a threshold matter, the parties do not dispute that the Federal Arbitration Act (FAA) applies to this matter. (Declaration of Bahare Mehrinfar (Mehrinfar Decl.) ¶ 15, Exhibit 1.) Thus, the FAA applies.

The FAA, while a federal statute, applies in California courts and requires state courts to enforce arbitration agreements as required by the federal common law developed under the FAA. (See *Southland Corp. v. Keating* (1984) 465 U.S. 1, 15-16; *Broughton v. Cigna Healthplans* (1999) 21 Cal.4th 1066, 1074-78, superseded by statute on another ground as stated in *Ferguson v. Corinthian Colleges, Inc.* (9th

Cir. 2013) 733 F.3d 928, 937.) The FAA preempts and invalidates state law and state judicial decisions that disfavor arbitration or require arbitration provisions to pass higher scrutiny. (Southland Corp., *supra*, at p. 12; *Perry v. Thomas*, (1987) 482 U.S. 483, 490.) If the parties designate the FAA applies, then California arbitration law is preempted. (See, e.g., *Rodriguez v. American Techs., Inc.* (2006) 136 Cal.App.4th 1110, 1121-1122.) However, courts have found that where the FAA is found not to apply, the California Arbitration Act (Code Civ. Proc. § 1280 et seq.) applies. (See *Valencia v. Smyth*, (2010) 185 Cal.App.4th 153, 178 (Valencia).) *~~~~~*

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A court's inquiry is limited to a determination of (1) whether a valid arbitration agreement exists and (2) whether the arbitration agreement covers the dispute. (9 U.S.C. § 4; *Chiron Corp. v. Ortho Diagnostics Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130; *Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84; see *Simula, Inc. v. Autoliv, Inc.* (9th Cir. 1999) 175 F.3d 716, 720 [if the finding is affirmative on both counts the FAA requires the Court to enforce the arbitration agreement in accordance with its terms]; see *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961 [In determining the enforceability of an arbitration agreement, the court first considers "two 'gateway issues' of arbitrability: (1) whether there was an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue"] *Lacayo v. Catalina Restaurant Group Inc.* (2019) 38 Cal.App.5th 244, 257 (Lacayo) [Where moving party meets initial burden, "the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition"].) *~~~~~*

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The general rule is that the FAA governs all agreements to arbitrate in contracts "involving interstate commerce." (*Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1247.) The term "involving" commerce "is broad and is indeed the functional equivalent of 'affecting' commerce." (*Allied-Bruce Terminix Companies, Inc. v. Dobson* (1995) 513 U.S. 265, 273-274.) The U.S. Supreme Court has held that this broad interpretation includes employment contracts. (See *Circuit City Stores v. Adams* (2001) 532 U.S. 105, 106.) The defendant bears the burden of proving applicability of the FAA by showing that its activities constitute interstate commerce. (*Hoover v. Am. Income Life Ins.*

Co. (2012) 206 Cal.App.4th 1193, 1207.) Failure to demonstrate that the employment agreement affects interstate commerce renders the FAA inapplicable. (See Lane v. Francis Capital Management LLC (2014) 224 Cal.App.4th 676, 687-688 (Lane); Woolls v. Superior Court (2005) 127 Cal.App.4th 197, 212.)

Even where the FAA governs the interpretation of arbitration clauses, California law governs whether an arbitration agreement has been formed in the first instance. (Baker v. Osborne Development Corp. (2008) 159 Cal.App.4th 884, 893.)

ANALYSIS:

Defendants contend the court should compel arbitration of this matter based on an arbitration agreement (Agreement) that Plaintiff executed, there is no unconscionability preventing enforcement, and the Agreement covers all Defendants.

Existence of Arbitration Agreement

“The party seeking to compel arbitration bears the burden of proving the existence of an arbitration agreement, while the party opposing the petition bears the burden of establishing a defense to the agreement’s enforcement.” (Beco v. Fast Auto Loans (2022) 86 Cal.App.5th 292, 302.) To determine the existence of an arbitration agreement, the court uses “a three-step burden-shifting process.” (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. [Citations.] A movant can bear this initial burden ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature.’” (Ibid. [internal citations omitted].) “If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence. . . .” (Ibid.) If the opposing party meets its burden to “submit sufficient evidence to create a factual dispute” as to the existence of the agreement, the burden shifts back to the arbitration proponent, who retains the ultimate burden of proving its existence by a preponderance of the evidence. (Ibid.)

Here, there is no dispute an Agreement exists. Instead, there is a dispute as to who it covers.

Generally, “only a party to an arbitration agreement is bound by or may enforce the agreement.” (Thomas v. Westlake (2012) 204 Cal.App.4th 605, 613.) One exception to this general rule provides that “when a plaintiff alleges a defendant acted as an agent of a party to an arbitration agreement, the defendant may enforce the agreement even though the defendant is not a party thereto.” (Id. at p. 614; but see Barsegian v. Kessler & Kessler (2013) 215 Cal.App.4th 446, 451-452 [requiring more than bare allegations of agency].)

An intended third-party beneficiary can also enforce an arbitration agreement. (Bouton v. USAA Casualty Ins. Co. (2008) 167 Cal.App.4th 412, 424.)

Here, Defendants can compel arbitration under the Agreement, in part.

First, it is undisputed that Brand Force can compel arbitration as the signatory. (Mehrinfar Decl., Exhibit 1.) However, Darnall, SVJ, and Juggernaut cannot use the plead agency theory to compel arbitration because they explicitly deny this theory in their answer. (Barsegian, supra, 215 Cal.App.4th at p. 452-453.) They also advance their separateness in their own evidence. (Declaration of Nick Dickinson ¶ 2.)

Second, the remaining Defendants are not identified third party beneficiaries – Brand Force’s clients are. (Mehrinfar Decl., Exhibit 1, at item 1 [“This Agreement is intended to also inure to the benefit of Company’s clients for whom you performed work for to the extent an employment dispute arises between you and such client and involves any arbitrable claims under this Agreement.”]) The remaining Defendants are not Brand Force’s clients. The language Defendants rely on to show they are intended beneficiaries concern covered claims, not third-party beneficiary status. (Id. at item 2(a).)

Finally, equitable estoppel does not apply because Plaintiff’s claims are not inextricably bound up with the contract containing the arbitration agreement – i.e., the Agreement. (Goldman v. KPMG, LLP (2009) 173 Cal.App.4th 209, 220-221.)

Accordingly, there is an enforceable agreement to

arbitrate as to Brand Force but not as to Juggernaut, SJV, or Darnall.

ii.

Application

to Current Dispute

There is no dispute that the Agreement covers Plaintiff's employment claims in this case. (Mehrinfar Decl., Exhibit 1, item 2(a).)

Accordingly, the Agreement covers this dispute.

iii.

Defenses

to Enforceability

In *Armendariz*, the California Supreme Court stated that when determining whether an arbitration agreement was unconscionable, there is both a procedural and a substantive element. (*Armendariz v. Foundation Health Psychcare Service, Inc.* (2000) 24 Cal.4th 82, 114 (*Armendariz*)).

a.

Procedural

Unconscionability

Plaintiff argues the Agreement is procedurally unconscionable because Brand Force drafted it, controlled Plaintiff's access to sign it, provided it post-hire, and there was no opt-out provision.

Defendants reply there is no evidence of surprise or oppression since the Agreement is a standalone document with a conspicuous title and the terms are written in plain language. They add that the Agreement was not a condition of employment, explicitly said so, and that Plaintiff's mistaken belief it was a condition of employment does not make it so.

Courts determine whether an agreement is procedurally unconscionable by looking at surprise and oppression. Oppression is an "inequality of bargaining power, when one party has no real power to negotiate or a meaningful choice. Surprise occurs when the allegedly unconscionable provision is hidden." (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84 (*Carmona*)). Examples of contracts that

are procedurally unconscionable are contracts of adhesion, which is a “standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (Armendariz, supra, at p. 113). “The circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney. (OTO, L.L.C. v. Kho, (2019) 8 Cal.5th 111, 126-27 (OTO).)¿

Here, there is minimal procedural unconscionability.

Critically, the Agreement was voluntary. (Mehrinfar Decl., Exhibit 1.) It states in bold at the end of the first paragraph: “I understand that my decision to enter into this Agreement is wholly voluntary and that my entering into this Agreement is not required by Company as a condition of employment.” (Ibid.) It follows that Plaintiff was not obligated to execute the Agreement. So, there was no need for an opt-out provision. However, Defendants’ own evidence demonstrates reasonable confusion since the Agreement is part of an onboarding task list that states the document “needs signing” and provides only one option to sign. (Mehrinfar Decl., ¶¶ 11, 12.)

Thus, there is minimal procedural unconscionability.

b. Substantive Unconscionability

Plaintiff argues the Agreement is substantively unconscionable because there’s an uncertain decisionmaker conflict concerning challenging enforceability (i.e., delegation clause), overbroad non-signatory scope of Agreement, overbroad PAGA waivers, and lack of mutuality when considered with the concurrently-signed confidentiality agreement that allows only Brand Force to seek injunctive relief in court. Plaintiff argues these provisions permeate the Agreement so the court cannot sever them.

Defendants reply that the confidentiality agreement cannot render the Agreement substantively unconscionable since they do not refer to each other or require each other to resolve ambiguous terms. Additionally, the waiver provisions are severable and follow the law. Finally, the non-signatory

scope is not overly broad, Plaintiffs allegations demonstrate the Agreement covers all Defendants, and Plaintiff is equitably estopped from asserting otherwise.

“Substantive unconscionability pertains to the fairness of an agreement’s actual terms and to assessments of whether they are overly harsh or one-sided.” (Carmona, supra, at p. 85). There are five minimum substantive requirements to an enforceable arbitration agreement: (1) neutral arbitrators, (2) more than minimal discovery, (3) written award sufficient for judicial review, (4) all types of relief otherwise available in court, and (5) no unreasonable costs or fees as a condition of access. (Armendariz, supra, at p.102.) When there is little procedural unconscionability, a party opposing arbitration must show substantial substantive unconscionability. (Id. at 114.)

Here, the Agreement is not unconscionable.

First, as discussed above, the Agreement is not overbroad in scope of non-signatories because it clearly only applies to disputes between Plaintiff and Brand Force. (Agreement, item 2(a).)

Second, the purported delegation clause issue does not render the Agreement unconscionable because the court can determine whether or not there is a valid delegation clause.[2]

Third, the Class Action Waiver is severable by its terms so it does not permeate the Agreement. (Agreement, item 4(a)(i).) So, too, is the Collective Action Waiver. (Id. at item 4(a)(ii).) What is more, the Agreement does not cover “disputes that cannot be arbitrated or subject to a pre-dispute arbitration agreement in accordance with applicable law.” (Id. at item 3(a).) Therefore, the purported PAGA Waiver is also severable.

Fourth, the court rejects Plaintiff’s argument on lack of mutuality. The Agreement explicitly allows both parties to bring claims in court for injunctive relief that are then finally determined in arbitration. (Agreement, item 3(c).) Additionally, the court is not persuaded that the confidentiality agreement renders this Agreement unconscionable.

The remaining Armendariz

factors are undisputed.

Thus, the Agreement is not substantively unconscionable.

Accordingly, the court GRANTS the motion to compel arbitration, in part.

CONCLUSION:

For
the foregoing reasons, the Court decides the pending motion as follows:

1. Motion

to compel arbitration is GRANTED as to Brand Force One, LLC;

2. This

action is STAYED as to Juggernaut One LLC, SVJ One LLC, and Graftan Darnall.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: September 22, 2026 _____ Upinder
S. Kalra

Judge
of the Superior Court

[1]

The court will not consider this untimely filing as it would prejudice Defendants who could not respond to it.

[2]

This issue was also not raised by Defendants. As such, the court did not need to even develop whether the arbitrator would determine enforceability.